Lecture 5
WHAT MONEY IS ABOUT?

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The Evolution of Money & The Collapse of Barter Trade

- ✓ We study how *moneyless* economies operated and some of the challenges embedded in the system
- ✓ With this we will be able to appreciate the real economic value of money in the modern economy
- ✓ *Barter* is a system of trade in which commodities were directly exchanged for another *OR*
- ✓ *Barter* is the direct exchange of goods and services for other goods and services.

The Evolution of Money & The Collapse of Barter Trade

- ✓ Because talents are not equally distributed, there was the need for this kind of exchange that allowed people to concentrate on one profession and trade that for other goods
- ✓ This notwithstanding, barter had *several problems* that was not only complicated, it was also relatively inefficient and unsustainable as society grew larger and modern way of doing things also grew
- ✓ The severest was the problem of *double coincidence of want* (i.e. Under barter, exchange is possible only when both parties wishing to exchange, simultaneously and mutually have the need for what each other has to offer). A barter system requires a *double coincidence of want* for trade to take place.

The Evolution of Money & The Collapse of Barter Trade

- ✓ The system was costly due to the time wastage in searching for someone (i.e. *search cost*) and waiting time (*wait cost*)
- ✓ *Barter trade was coupled with pricing or valuation of the commodities* involved in the transaction (i.e. Measurement problems)
- ✓ There wasn't any structured pricing system that could be a basis for comparing the value of two commodities
- ✓ How many cups of salt should be exchange for a cow?
- ✓ *Barter was coupled with the problem of durability* (e.g. the exchange of perishable goods got rotten in the course of *searching* for someone to exchange with, an addition to cost and inefficiencies

The Evolution of Money & The Collapse of Barter Trade

- ✓ Barter was coupled with portability and divisibility (e.g. people had to carry a huge item around in search of someone to barter with which also made it impossible for items to be divided as there was no unit of measurement)

- ✓ Barter was coupled with acceptability and 'recognisability'. If everybody would just accept anything at all, then there wouldn't be any problem of wants coinciding

- ➢ People need to recognise your commodity before deciding on whether to accept it or not

The Evolution of Money & The Collapse of Barter Trade

- ✓ All these problems culminated in a *multiple pricing* for a single commodity

- ✓ To overcome all these problems with barter, there was therefore the need for a single commodity that could be used as a common denominator; hence ***money***

- ✓ ***How does money eliminates the problems with barter?***

- ✓ To answer this question we need to understand the definition and functions of money

What is Money?

- ✓ Money has been different things at different times, but it has *always* been important
- ✓ As the word money is used in everyday conversation, it can mean many things, but to economists, it has a very specific meaning
- ✓ Money can be defined as anything that is generally accepted as a medium of exchange *OR*
- ✓ The sets of assets in an economy that people regularly use to buy goods and services from other People *OR*

What is Money?

- ✓ Money can be defined as anything that is generally accepted in the payment for goods or services or in the repayment of debts
- ✓ Money means different things to different classes of people, depending on their *political persuasions* (e.g., monetarism, Keynesianism) and *motives for holding it* (e.g., to spend or to invest)
- ▪ The ordinary person see money narrowly as a sort of immediately spendable purchasing power; whereas investors, bankers, economists, and governments see it broadly in the form of *varying degrees of financial liquidity*

What is Money?

- As money can take on many forms, it is more important for us to look at money in terms of what it does rather than what it is physically.

- The word money can be used to represent different things depending on the scenario:

✓ 1. **Currency**:

- Do you have enough money for lunch? When most people talk about money in this sense, they are talking about currency (paper money and coins)

What is Money?

- If, someone comes up to you and says, “Your money or your life”, you should quickly hand over all your currency rather than ask, “What do exactly do you mean by ‘money’?”
- To define money merely as currency is much too narrow for economists
- (i) Because checks/checking account deposit are also accepted as payment for purchases, and are considered as money as well
- (ii) Because other items such as savings deposits can, in effect, function as money if they can be quickly and easily converted into currency or checking account deposits.

What is Money?

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✓ 2. **Income**:

- How much money do you make a month?
- If someone says "Sheila would be a wonderful catch; she has a good job and earns a lot of money"

What is Money?

- *Income* is a flow of earnings per unit of time, which in contrast with *money* which is a *stock* , it is a certain amount at a given point in time

✓ 3. **Wealth**:

- Are you from a family with a lot of money?
- When people say, "Joe is rich – he has an awful lot of money"

➢ Here they probably mean that Joe not only has *a lot of currency* and a *high balance* in *his checking account* but also has *stocks*, *bonds*, *cars*, *houses* etc.

➢ *Wealth* includes not only money (i.e., currency, demand deposits etc.) but also other assets such as bonds, stocks, land, cars, houses etc.

What is Money?

- From the above examples, although money is not necessarily income or wealth, we know that money can represent different things. The most common scenario associated with money is *currency* (or *cash*).

- NB: Keep in mind that the use of the term *money* or *money supply* in this course *refers to anything that is generally accepted in payment for goods and services or the repayment of debts and is distinct from income and wealth*

Characteristics of Modern Money

- ✓ The following are some of the characteristics a commodity needs to possess to perform the roles of money efficiently:
- ✓ 1. *Acceptability* - (people must be willing to accept it as a means of payment for goods and services, and in the settlement of debt)
- ✓ 2. *Durability* - (must last a reasonable length of time before deteriorating)
- ✓ 3. *Divisibility* - (to function as money an asset must be capable of division into smaller units to accommodate transactions of direct value)

Characteristics of Modern Money

- ✓ 4.*Uniformity/Homogenous* - (money of the same value must be of uniform quality)
- ✓ 5. *Portability/Convenience* - (to function as money an asset must be

portable and easy to transfer ownership)

- 6. *Limited in Supply*, (or supply relatively stable)
- 7. *Stability in Value* - (in order to fulfill its various functions especially as a *store of wealth* and as a *means of evaluating future payment*)
- 8. *High in Value* (i.e., its physical size is small relative to its value)
- 9. *Not easily Counterfeited* - (i.e., it must be hard to forge)
- 10. *Liquidity*
- 11. *No intrinsic value*

Forms of Money (Evolution)

- ✓ We can better appreciate the functions of money and the forms it has taken over time by looking at the *evolution of the payment system*, the method of conducting transactions in the economy
- ✓ Many different commodities has been used to represent money (or currency) in our society. They include *tobacco*, *gold*, *silver*, *cows*, *coffee*, *paper money*, *checking account*, *electronic money* etc.
- ✓ By this, several forms of money are known: **Commodity money, Fiat/Token money, Checks, Electronic Payment, E-Money**

Forms of Money (Evolution)

- 1. **Commodity Money**:

- Money that takes the form of a commodity with *intrinsic value*. Something that performs the function of money and has alternative, non-monetary uses, e.g., *gold or silver*
- From ancient times until several hundred years ago, commodity money functioned as the medium of exchange in all but the most primitive societies
- The problem with commodity money is that such a form of money is very heavy and is hard to transport from one place to another
- If you had to buy things only with coins, for example, then for large purchases such as a house you'd have to rent a truck to transport the money payment

Forms of Money (Evolution)

- **2. Fiat/Token Money**

- Money *without intrinsic value* that is used as money because of government decree.
- Something that serves as money but has no other important uses, e.g. paper money (i.e. currency and coins) that function as medium of exchange
- Initially, paper money curried a guarantee that it was convertible into coins or into a fixed quantity of precious metal
- However, currency has evolved into *fiat money*, paper money decreed by government as legal tender but not convertible into coins or precious metal

Forms of Money (Evolution)

- Paper currency has the advantage of being much lighter than coins or precious metal, but it can be accepted as a medium of exchange only if there is some trust in its use
- Because paper money has evolved into a legal arrangement, countries can change the currency they use at will
- Major drawbacks of fiat money is that they can be stolen easily and also expensive to transport in large amount
- To address this problem has evolved the development of modern banking: the invention of *checks*

Forms of Money (Evolution)

- 3. **Checks**

- A check is an instruction from you to your bank to transfer money from your account to someone else's account when she deposits the check
- It has been a major innovation that improved the efficiency of the payment system, as it allow transactions to take place without the need to carry around large amounts of currency
- With checks no currency need be moved
- Its use thus reduces the transaction costs associated with the payment system and improves economic efficiency
- Checks can be written for any amount up to the balance in the account, making transactions for large amounts much easier
- Loss from theft is greatly reduced and because they provide convenient receipt for purchases

Forms of Money (Evolution)

- It is however coupled with some *disadvantages*:

- It takes time to get checks from one place to another, a particularly serious problem if you are paying someone in a different location who needs to be paid quickly
- It takes several business days before a bank will allow you to make use of the funds from the check you have deposited
- Thus if your need for cash is urgent, this feature of paying by check can be frustrating
- The paper shuffling required to process checks is costly

Forms of Money (Evolution)

- **4. Electronic Payment and E-Money**

- The development of computers and the spread of the internet now make it cheap to make payments electronically
- Now (at least in advanced countries) one can pay bills (electricity, gas, telephone etc) by just logging on to your account, make a few clicks at the product website, and thereby transmit your payment electronically
- Electronic payment systems provided by banks now even spare you the step of logging on to pay the bill

Forms of Money (Evolution)

- Instead, recurring bills can be automatically deducted from your bank account
- The electronic payment system can take the form of electronic money (or e-money) – money that exists only in electronic form
- The first form of *e-money* was the *debit card*
- *Debit cards* enable consumers to purchase goods and services by electronically transferring funds directly *from their bank accounts to a merchant's account*
- Most banks and companies such as Visa and MasterCard issue debit cards, and your ATM card typically can function as a debit card

Forms of Money (Evolution)

- A *second form* (a more advanced form) of *e-money* is the *store-value card* (e.g. a *smart card*) which contains a computer chip that allows it to be loaded with digital cash from the owner's bank account whenever needed
- *Smart cards* can be loaded from ATM machines, personal computers with a smart card reader
- A *third form* of e-money is the *e-cash*, which is used on the internet to purchase goods or services
- A consumer gets e-cash by setting up an account with a bank that has links to the internet and then has the e-cash transferred to her PC, which enable purchases online

Forms of Money (Evolution)

- NB: Given the convenience of e-money one is tempted to think we are moving quickly to a cashless society in which all payments are made electronically. However, this hasn't happened.

- ✓ Why has the movement to a cashless society been so slow in coming?
- ✓ Although *e-money* might be more convenient and efficient than a payments system based on paper, several factors work against the disappearance of the paper system

Forms of Money (Evolution)

- (i) It is very expensive to set up the computer, card reader, and telecommunications networks necessary to make electronic money the dominant form of payment

- (ii) Electronic means of payment raise security and privacy concerns.

  - because unauthorized hacker activities are so common, unscrupulous persons might be able to access bank accounts in electronic payments systems and steal funds by moving them from someone else's account into their own

Forms of Money (Evolution)

- (iii) A further concern is that the use of electronic means of payment leaves an electronic trail that contains a large amount of personal data on buying habits

  - there are worries that government, employers, and marketers might be able to access these data, thereby encroaching on our privacy

- **Distinction Between Credit and Money**

✓ Money is a financial asset that represents current or future purchasing power

✓ Credit or credit cards are not part of the money supply because they are just convenient ways to make loans

Forms of Money (Evolution)

- ✓ With credit card you are actually borrowing money from the bank that issued the card, and payment is deferred until you make payment to the credit card issuer

- ✓ Credit purchases do not technically represent purchasing power, but consumer credit, a way to defer final payment

Definitions of Money

- We now review the various approaches to the definition of money by examining;

  - 1. *The classical definition*, which expresses the ordinary person's view;
  - 2. *Divisia aggregates*, which expands the classical definition into much simpler categories;
  - 3. *The Technical definition*; which reclassifies the stock of money into official monetary/financial aggregates, for various economic objectives

Definitions of Money

- 1. ***The Classical Definition of Money***

✓ The classical economists hold the view that money serves merely as *a medium to facilitate transaction*, i.e. it serves as a generally accepted means of payment.

✓ By this definition, any asset that serves functions other than payment, or transaction, is not considered as money

✓ Hence, by the classical definition, only two assets: (1) currency, and (2) chequeable deposits can be considered as money

Definitions of Money

- ✓ This was possible because they assumed both are *non-interest bearing*, unitary exchange exists between them, and the sum of total monetary payments is assumed to be exactly equal to the value of the assets involved in the transaction. This is termed as *simple-sum aggregation*

- ✓ However, restricting money definition into currency and chequeable deposit is tantamount to treating them as perfect substitutes, which is not the case in many developing countries. *Currency is a legal tender, bank deposit is not*, as dishonor of cheques may occur.

Definitions of Money

- 2. ***Divisia Monetary Aggregates***

✓ An attempt to construct a theoretical preferable alternative to the *simple-sum aggregation* was first made by Francois Jean Marie Divisia (1889-1964), an Algerian

✓ Divisia realized the problem of liquidity of chequeable deposits. He splits demand deposit into two components, viz (1) the *household demand deposit* (HDD) and (2) *business demand deposit* (BDD).

✓ His underlying assumption is that households receive zero rate of return on demand deposits while firms usually receive an implicit, non-zero rate of return

Definitions of Money

- Divisia monetary aggregates have been used widely in the US Federal Reserve banks, the World Bank, and the IMF

- 3. ***The Technical Definition of Money***

✓ The objective of the monetary aggregation by the technical approach is to identify groups of financial assets, which behave as if they are a single item

- The necessary condition for monetary aggregates is *blockwise weak seperability*, which means that people's decisions about financial assets that are outside a particular group do not influence their preference over those in the group

Definitions of Money

- ✓ By this definition, the monetary aggregates, commonly used in developed and developing countries are, **M0**, **M1**, **M2** and **M3**. These are hypothetical as there are variations from country to country

- **M0 - Monetary base** - *Currency in circulation*, *till money* and *the banks operational deposits with the central banks*. Till money: all monies set aside for use by a teller, including those kept in the vault (money kept at a bank to cover day-to-day expenses such as cash withdrawals).

Definitions of Money

- ✓ **M1 - Narrow definition of money** - *Currency with the public*, and *demand deposits*.

- ✓ **M2 - Broad definition of money (total liquidity)** - *M1* plus *time deposit* (TD), *certificates of deposit* (CD) and *savings deposits*. Time deposit: Savings or CD held for a fixed-term with the understanding that the depositor can only withdraw by giving written notice. CDs are different from savings accounts in that the CD has a specific, fixed term (often monthly, three months, six months, or one to two years), and, usually, a fixed interest rate.
- ○ Note: M2 and above are all classified as broad money

Definitions of Money

- ✓ Broad definition, whether M2, M3 etc embrace financial assets whose movements are closely correlated with the movement of macroeconomic variables, such as growth in the national income, employment, prices, and interest rates
- ✓ **M3** - M2 plus building society term deposits and the like
- ✓ **M3c** - M3 plus foreign currency.

Definitions of Money

- ✓ Ghana uses **M1**, **M2** and **M2+** to target its macroeconomic objectives

- ✓ In Ghana **M1** is the narrow money and it is termed the **narrow money supply** by the Bank of Ghana. Ghana's M1, is defined as currency outside the banking system plus demand deposits

- ✓ They are the *readily spendable purchasing power*, and embraces the sort of financial assets that are generally widely accepted for the payment of goods, services and obligations.

Definitions of Money

- ✓ In Ghana, **M2** is defined as **M1** plus quasi (near) money - comprising *savings deposits*, *time deposits* (e.g. *certificates of deposit*) with deposit-money banks (DMBs)

- ✓ In Ghana, **M2+** comprises narrow money (M1) plus quasi money plus *foreign currency deposits* or M2 plus *foreign currency*. Thus, foreign currency is represented with plus (+)
- This classification implies that, in Ghana, in spite of the high rate of financial development, many other financial instruments are still left out of the monetary aggregates.

Definitions of Money

- ✓ For example, Mo - the monetary base is not considered. Others embrace the various public sector liquidities such as credit societies fund and money market funds for institutions including pension fund, building society term deposits, nonbank public holding of Government securities and operational accounts of commercial banks

- ✓ This implies that further reclassification of the Ghanaian monetary aggregate is necessary, to keep pace with financial development
- ✓ If this is not done, then it becomes difficult for monetary authorities to control the level of employment, employment and inflation

The Concept of Liquidity

- ✓ The description of money as a liquid store of value implies two things:

- ✓ (i) *Money is the store of value of wealth*. Thus a person can hold it with confidence that its value will remain stable in the future, barring inflation

- – (ii) *Money is a liquid asset*
- ✓ By "liquid store of value" we mean that a financial asset can be converted into a readily spendable means of payment whenever the holder wants

The Concept of Liquidity

- *Liquidity*, thus emphasizes the ability to transform wealth holdings into cash without loss of value or delay

  - ✓ This implies that financial assets have different degrees of liquidity
  - ✓ While some financial assets are highly liquid others are less liquid
  - ✓ *Cash* is obviously the most liquid of all financial assets, as it can be spent with little or no difficulty
  - – Non-cash assets may also be liquid only if it can be converted into cash in a short period of time and without significant loss (e.g. Loss of capital value, loss of face value, loss/forfeiture of a substantial amount of interest etc.)

The Concept of Liquidity

- **The Link between Liquidity and Money in a Modern Economy**

✓ Besides bank notes/coins/demand or sight deposits, no other financial asset is fully classified as money in Ghana, though some are highly liquid

✓ Thus, the basic tenet of money in the modern economy is a matter of degree.

- **Liquidity**, is thus, *the degree of moneyness of financial assets*

The Concept of Liquidity

- **Money as a Social Relation**

✓ One thing clearly stands out of the various definitions of money; i.e. *money is a readily spendable purchasing power that serves as a medium of exchange*.

✓ The term, medium of exchange, is unique only to money: it is an adequate and sufficient condition to the definition of money

✓ The term 'medium' implies that a relationship exists between people, whom we shall conveniently group as *buyers* and *sellers* or *debtors* and *creditors*

✓ Such a relationship is evidently *social*. For this reason, socialist economists define *money as social relationship*.

The Concept of Liquidity

- ✓ This definition is mentioned by Foley in *The New Palgrave Dictionary of Economics* (1998).
- ✓ Foley writes "Money is a social relation, like the meaning of a word, or the proper form of a ritual. It exists as part of a system of behavior shared by a group of people" (Pp. 519)
- ✓ For these reasons, the content of money is expressed by its social role in the system of *commodity production* and *commodity exchange*, and the concept of money cannot arise in a society where production of goods and services does not take place e.g. in a *barter economy*

The Concept of Liquidity

- ✓ In this sense, money manifest itself as the general equivalent through which the value of goods and services are expressed.
- ✓ This implies that, *money is not necessarily a thing but a medium*, i.e. a form of expression of productive relationship between *buyers* and *sellers*, between *manufacturers* and *workers*, between *farmers* and *landlords*, etc.
- ✓ Money makes it feasible to transform any commodity into any other item through exchange transaction or bargaining
- ✓ Therefore, money makes it possible to equate values of different types of commodities

The Concept of Liquidity

- **Non-monetary Assets**

✓ Any item that does not appear in the official monetary aggregates of a country is not considered as money. Such non-monetary assets are not included in any of the monetary aggregates

✓ Examples are, securities, equities, gold, dormant account, unused credit facilities, money in central bank vault, Treasury account

✓ *Equities, bonds and stocks* are mere documentary evidence of business ownership or debt.

The Concept of Liquidity

- ✓ *Dormant account* are economically inactive deposits and irrelevant for economic activity.
- ✓ *Unused credit facilities* also do not form part of the money stock or constitute part of the means of payment, as only the used part affects the money stock
- ✓ Money held by *Treasury* or *Government* do not affect expenditure and they have no consequence for money supply. They represents money withdrawn from circulation.

The Functions of Money

- ✓ The functions of money serve as a rudimentary form of defining money. “Money is what Money does” says Francis Amasa Walker (1840-1897).

- ✓ Modern money functions as: *medium of exchange or transaction*, *liquid store of value*, *unit of account* and *standard for deferred payment*

The Functions of Money

1. Medium of Exchange/Transaction

- ✓ The medium of exchange function is central to the definition of money. In the theory of money, the existence of noncommunist society involves exchange of goods and services. As opposed to barter, double-coincidence-of-wants (which occurs under barter, cumbersome and slows down economic activity) do not necessarily occur.

- ✓ Money decomposes and polarizes barter into separate acts of *sale* and *purchase*, and obliterates the need for double coincidence of wants.

The Functions of Money

- ✓ Thus, a farmer who needs to exchange foodstuffs for implements, need no longer search or wait for somebody who is willing to make the exchange, she can sell the foodstuffs for money, and use it to buy the implements.
- ✓ Thus, by the introduction of money, the society's scope of economic activity increase and resource allocation becomes more efficient than in the non-monetized economy
- ✓ The function of medium of exchange exemplifies the notion of general acceptability of money and intermediates in the commodity exchanges
- ✓ Certainly, a medium of exchange in modern economy need not possess *intrinsic value* or *value in use* (i.e. money must be a thing that is useful and has value for its own sake)

The Functions of Money

- ✓ Thus modern money does not need to have *intrinsic value*, it is quite sufficient for it to possess only *value in exchange* (the expression of the amount of goods that a unit of currency, or a given amount of money, can buy).
- ✓ Hence, *value in exchange* is the price of the commodity or the *face value of money*.

2. Store of Value

- ✓ Money serve as a liquid store of value or wealth
- ✓ Unlike in the barter system, *sales* and *purchase* do not necessarily need to synchronize

The Functions of Money

- ✓ Where *sales* exceed *purchases*, it becomes feasible to keep or save the surplus money until the need for its use arises.
- ✓ Thus, where purchase are allowed to exceed sales, credit facility is implicitly granted to the deficit unit.
- ✓ Money is something more basic than a medium of transaction; *it is something, which enables people to separate the act of purchasing from the act of sale*.

The Functions of Money

- ✓ Money serves as a store of value by virtue of its service as a medium of exchange.
- ✓ Store of value implies that money is an item that can be kept for a long time without deterioration or without wastage
- ✓ The store of value allows saving to be formed. Though some commodities can be 'saved' for future use, money generally performs such functions more efficiently.
- ✓ Thus a manufacturer can sell her products, keep the money and spend it any time in the future

The Functions of Money

- ✓ This is essential because every commodity producer must accumulate capital, with which to work or start a new business, and reserve against contingencies of the market.
- ✓ Money links the past and future time periods. Its essential that money should always be an item which can maintain its value now and in the future
- ✓ Thus, in the past gold was popular, but now bank deposits is more popular, as a liquid store of wealth. Bank deposits are safe unless the bank ledgers or computer data are stolen or destroyed, but this are very unlikely

The Functions of Money

- ✓ In addition, wages, salaries, rent, dividends and profits paid are not all spent once but in bit. Likewise, commodity transaction and distribution involve some intervals between payments and receipts of money.
- ✓ In the modern economy, money acts as a store of value to a much greater extent than as a medium of exchange. A comparison of bank deposits and money in circulation proves this
- ✓ One essential condition of store is that the economic object must not deteriorate. Hence, as store of wealth, money must be stable in value. Inflation impairs the store-of value function

The Functions of Money

3. Unit of Account

- ✓ Money serves as a *numeraire* or an equivalent in exchange, i.e. the unit or a measure of value in which prices of goods and services can be expressed with ease.
- ✓ This means that money must function as a unit of account. The unit of account in Ghana is the *Cedi*, *Naira* in Nigeria, the *pound sterling* in the UK, the *dollar* in the US, Euro in the EU etc.
- ✓ As a unit of account, money serves as the common denominator for the measurement of the relative values of different commodities. Money expresses the value of commodities as uniform

The Functions of Money

- ✓ The assignment of prices to commodities makes it possible to overcome one of the difficulties of barter
- ✓ This facilitates the calculation of transaction to be quantitatively identical and qualitatively comparable, and promotes economic accounting and resource allocation
- ✓ Money is used as unit of account in all countries not only in exchange of commodities but also in valuation of assets, for purpose of stock-taking, for assessment of present value of securities, for insurance purposes and taxation etc.

The Functions of Money

- ✓ In barter, a few items would give rise to several exchange rates. Thus, given a number of items, N, the number of markets or pairings would be N(N-1)/2
- ✓ Assume we are confronted with the pricing of only 20 items.
- ✓ Whereas in the monetized economy there would be only 20 prices since there are only 20 items in the market, under barter system the number of pairings would be as high as 20(20-1)/2=190
- ✓ For 100 items we will have 4,950 instead of 100

The Functions of Money

- ✓ Note: For 1 item there could be no price in a barter exchange because there would be no other item with which to pair, but in the monetized system there would be *one price*.
- ✓ For 2 items, there would be only 1 pair of exchange in barter pairing, but in the monetized system there would be 2 prices
- ✓ For 3 items, however, *the number of both the barter and the monetary pricing tend to be the same*. This implies that for up to 3 items, the barter system seem simpler than the monetary system, but deteriorate after. A divergence which takes place in a progressive manner

The Functions of Money

- ✓ Thus, with the introduction of money in the non-monetized economy, the numerous exchange rates involved in the barter transaction are reduced to the exact number of goods

4. Standard of deferred payment

- ✓ Money by virtue of its function as a medium of exchange, also generally serve as standard of deferred payment, although this function is more closely linked with the asset function of money
- ✓ Modern money, unlike many commodity moneys, can be stored as this makes it possible to accumulate it for making payments at some future date

The Functions of Money

- ✓ By this, money facilitate the granting of loans, the sale of commodities on credit, the entering into contract, the payment of taxes, rent, wages etc., and the issue and subscription of stocks and shares, and in so doing acts as a *means of future payments*.
- ✓ In the moneyless economy of the barter system its also possible to give credit. Commodity credit can be given, but on repayment the lender may not have the need for the same commodity. Obviously, this way of settling debt may run into difficulty
- ✓ Money by means of this function obliterates such difficulty since the institution of money efficiently resolves the problem of *separation of transaction in time*.

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The End